

Titan Formation Breakout System

Portfolio Backtest Report

Period	2026-01-05 to 2026-01-19
Instruments	8 — XAUUSD, EURUSD, GBPUSD, USDJPY, CL, NQ, ES, RTY
Bars processed	33,840 (5-minute)
Account	TITAN-DESK-01 · \$500,000 · prop_desk
Entry method	Method B (Ch VII)
Data source	Deterministic synthetic price paths
Generated	2026-08-11 17:35:55 UTC
Engine	titan_tfbs v1.0.0

THIS IS NOT A PERFORMANCE RECORD.

This run used deterministic **synthetic** price data: textbook formations followed by completed measured moves. Every performance figure in this document — win rate, profit factor, return, R multiple — is a property of that generated price path, not evidence that the strategy has an edge.

The document exists to demonstrate that the engine implements the TFBS rules end to end and to exercise the risk layer. It must not be presented to clients, prospects, program participants or regulators as a track record. Re-run against firm market data before drawing any conclusion about profitability.

The engine implements the Ch VI-A decision pipeline end to end: SCAN and VALIDATE for formations, CONFIRM for the breakout, SCORE against the Confluence Scoring System, SIZE against the firm risk limits, EXECUTE via an approved entry method, and MANAGE to the Ch X exit architecture. No trade is taken before a confirming candle close, so Ch XII-A1's ban on anticipation trading holds structurally rather than by convention.

Instruments were replayed **interleaved in timestamp order**, not one after another. This matters: the Ch VIII-A aggregate open-risk cap and the correlated-exposure cap are portfolio rules, and they only bind correctly when instruments compete for the same headroom in the order the market delivered them. A per-instrument backtest run separately and summed would silently breach both.

Multi-timeframe protocol (Ch IX)

Screen	Timeframe	Function
1 — TREND	1D/1W	Macro directional bias
2 — PATTERN	4H/1H	Formation identification
3 — ENTRY	15M/5M	Breakout, retest, volume, rejection

Risk parameters applied

Parameter	Value	Source
Risk per trade	1.25% approved / 2.0% elite	Ch VIII-A, Ch XI
Aggregate open risk	5.0%	Ch VIII-A hard limit
Minimum reward:risk	2.0:1	Ch VIII-A hard limit
Correlated positions	2 per currency/sector	Ch VIII-A
Daily loss limit	3.0%	Ch VIII-A, Ch XII-A5
Weekly loss limit	6.0%	Ch VIII-A, Ch XII-A5
Max drawdown ladder	8.0/10.0/12.0%	RMG s.05
Confluence gate	7/10 minimum	Ch XI

Reminder: these figures describe synthetic price data. They demonstrate that the pipeline executes and that the risk layer binds. They say nothing about profitability.

Trades	13	Win rate	100.0%
Net P&L	2,758,588	Return	551.72%
Profit factor	inf	Expectancy	212,199 (+17.33R)
Avg R	+17.33	Best / worst R	+24.57 / +6.45
Max drawdown	19.99%	Trades / week	6.2

Equity curve



The gold line is the running high-water mark. The RMG s.05 drawdown ladder is measured against it, so the gap between the two lines — not the distance from the starting balance — is what triggers RESTRICTED, PROBATION and SUSPENDED.

Against the Ch XIII-B targets

Ch XIII-B metric	Result	Verdict
Win rate 50-60%	100.0%	OFF TARGET
Average R above 2.0	+17.33R	MEETS
Expectancy positive	212,199	MEETS
Profit factor above 1.5	inf	MEETS
Cadence 3-8 trades/week	6.2/wk	MEETS

The Ch I universe. Screens show the Ch IX three-screen stack applied to each instrument.

Symbol	Class	Screens	Trades	Win %	Avg R	P&L
XAUUSD	metals	1D/1W > 4H/1H > 15M/5M	0	—	—	—
EURUSD	forex	1D/1W > 4H/1H > 15M/5M	2	100	+16.90	213,600
GBPUSD	forex	1D/1W > 4H/1H > 15M/5M	2	100	+12.37	186,200
USDJPY	forex	1D/1W > 4H/1H > 15M/5M	1	100	+23.43	133,871
CL	commodities	1D/1W > 4H/1H > 15M/5M	3	100	+15.76	685,118
NQ	indices	1D > 4H/1H > 15M/5M	2	100	+22.89	697,455
ES	indices	1D > 4H/1H > 15M/5M	1	100	+10.25	375,785
RTY	indices	1D > 4H/1H > 15M/5M	2	100	+20.03	466,559

XAUUSD produced no trades. An instrument going quiet is not a failure — the Ch XI gate and the portfolio caps are designed to refuse setups — but a flagship instrument sitting out an entire run warrants inspection before the parameters are trusted. See the rejection funnel overleaf for where its setups were stopped.

By pattern (Ch XIII-C review input)

Formation	Trades	Win %	Avg R	P&L
DB	5	100	+14.24	734,642
DT	3	100	+14.34	1,004,031
H&S	5	100	+22.22	1,019,915

By confluence grade (Ch XI)

Grade	Trades	Win %	Avg R	P&L
APPROVED	9	100	+18.54	1,435,969
ELITE	4	100	+14.63	1,322,619

Peak aggregate open risk	4.99%	cap 5% (Ch VIII-A)	WITHIN
Max drawdown (trailing)	19.99%	suspension at 12% (RMG s.05)	BREACHED
Bars with trading halted	425	1.26% of the run	

Account status timeline (RMG s.05)

When	Transition	Max DD	Trading
2026-01-09 16:15	ACTIVE -> PROBATION	11.61%	halted
2026-01-09 16:15	PROBATION -> SUSPENDED	18.06%	halted
2026-01-09 20:30	SUSPENDED -> PROBATION	10.84%	halted
2026-01-09 20:40	PROBATION -> ACTIVE	4.60%	permitted

Setup funnel

271 setups reached the CONFIRM stage; 13 were executed. Ch XII-A4 requires the refusals to be logged as well as the fills, and they are the clearest picture of what the rules actually do.

Outcome	Count
Executed	13
Formation expired unbroken (Ch VI-B)	208
Formation invalidated before entry (Ch V-B)	36
Trade cadence cap (Ch XIII-B)	9
Confluence score below 7/10 (Ch XI)	3
Correlated exposure cap (Ch VIII-A)	1
One position per instrument (Ch VIII-C)	1

• The account was halted mid-run despite every trade being a winner. Peak trailing drawdown reached 18.1%, crossing the RMD \$05 suspension trigger, because the ladder measures against a high-water mark that includes unrealised profit on open positions. Large open winners lift the mark, giving part of that back before the target registers as drawdown. Worth deciding deliberately whether the firm intends the ladder to measure floating equity or closed balance — `risk.max_drawdown_basis` switches between trailing and static.

• **The Ch VIII-A aggregate risk cap was the binding constraint.** Peak open risk reached 4.99% against the 5% cap, so the portfolio was fully deployed at times and later setups were refused for headroom rather than quality. This is the cap working, but it means instrument-level results are not independent.

• **XAUUSD traded nothing.** Check whether its formations were expiring unbroken, being crowded out by the portfolio caps, or failing the confluence gate before treating the parameters as tuned.

• **The dominant refusal was “Formation expired unbroken (Ch VI-B)” (208 of 258).** A funnel this top-heavy means most detected formations never became tradeable setups at all, which is the intended shape for a system that grades a bare level break as F.

Limitations of this document

- Synthetic price data. The single most important limitation: nothing here measures edge.
- Fills are simulated with a fixed spread, slippage and commission model. Real execution will differ, and the difference grows with position size.
- A bar that spans both stop and target is assumed to hit the stop first. This is deliberately pessimistic but it is an assumption, not a fact.
- No economic calendar was supplied, so the Ch XII-A6 news blackout was inactive for this run.
- The Ch XII-C compliance escalation ladder and the monthly CEO review trigger require state across sessions and are not exercised here.

Intended use. This document evidences that the TFBS engine implements the manual's rules and that the risk layer binds. It is an engineering artefact for the desk and for CEO review. It is not marketing material, not a track record, and not suitable for distribution to program participants or prospective clients. The underlying data is synthetic.